

INTERNAL LEGAL MEMORANDUM

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Date: April 2, 2026

Subject: Preliminary risk assessment for MedCare v BioServe

Key Questions

- 1) Did BioServe miss the 6 business hour onsite response SLA?
- 2) Does the missing February service sheet prove preventive maintenance breach?
- 3) Can MedCare recover outsourcing and compliance costs despite liability cap?
- 4) Can MedCare withhold disputed invoice lines without triggering late interest?

Preliminary Assessment

MedCare has a credible breach position based on machine timestamps, missing maintenance documentation, and the March outage chronology. The strongest issue is service-level performance. The weaker issue is damages because some impact figures remain estimates.

Counterparty Risks

BioServe will argue that the response clock started only after ticket acceptance at 09:10. BioServe will also argue that traffic disruption and remote maintenance records reduce fault. These defenses should be tested against the agreement, ticket policy, and service logs.

Recommended Strategy

- Pay undisputed amount with express reservation of rights
- Demand complete telemetry and signed service records
- Preserve settlement option with credit note and enhanced monitoring
- Prepare mediation brief if April 6 management negotiation fails

Immediate Deadlines

- April 3, 2026: revised invoice support due
- April 5, 2026: BioServe payment deadline for credit note offer
- April 6, 2026: proposed joint review meeting